

Multiple Choice (10 marks)

1. Which of the following policies best describes supply-side fiscal policy?
 - (a) Higher taxes on household income
 - (b) Increased government spending
 - (c) Increased taxes on corporate profits
 - (d) Increased import tariffs
 - (e) Decreased interest rates
2. The Law of Diminishing Marginal Returns is responsible for
 - (a) MC that first falls, but eventually rises, as output increases.
 - (b) AP that first falls, but eventually rises, as output increases.
 - (c) TC that first falls, but eventually rises, as output increases.
 - (d) AVC that first rises, but eventually falls, as output increases.
 - (e) MP that first falls, but eventually rises, as output increases.
3. When both short-run aggregate supply and aggregate demand increase which of the following can be said for certain?
 - (a) Both the price level and real GDP fall.
 - (b) The price level rises but the change in real GDP is uncertain.
 - (c) The price level falls but the change in real GDP is uncertain.
 - (d) Real GDP falls but the change in the price level is uncertain.
 - (e) The price level rises but real GDP falls.
4. If the U.S. dollar and Chinese yuan are traded in flexible currency markets which of the following causes an appreciation of the dollar relative to the Chinese yuan?
 - (a) Rising per capita GDP in China increasing imports from the United States
 - (b) Lower per capita GDP in China decreasing imports from the United States
 - (c) Rising unemployment rates in the United States
 - (d) Higher price levels in the United States relative to China
 - (e) Decrease in the American GDP
5. What do we mean when we say that the farm problem may be correctly envisioned as a problem of resource misallocation?
 - (a) Overproduction and wastage of crops

- (b) Lack of alternative employment
- (c) Excessive government intervention in agriculture
- (d) Inefficient farming methods
- (e) Low income of farmers

True / False (10 marks)

Answer True or False

6. True or False: Cyclical unemployment is caused by technological advancements that render certain jobs obsolete, such as grocery checkers.
7. True or False: Labor is the least costly factor of production compared to land and capital in the United States.
8. True or False: An increase in investment of 75millionisrequiredtogeneratea300 million change in income with an MPC of 0.75.
9. True or False: The average total cost (ATC) curve is always below the marginal cost (MC) curve in a perfectly competitive market.
10. True or False: With an annual income of 20,000anda9.8

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of a perfectly competitive market operating below the minimum average total cost in the long run, focusing on firm behavior and market pricing adjustments.
12. Discuss the consequences of permanent inflation on interest rates, analyzing how anticipated inflation affects the discounting of nominal interest rates in the economy.

End of Paper